

EU Semiconductors

ARM Holdings PLC

Rating

Outperform

Price Target



480.00 USD



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ARM: SDC Key Takeaways - AGI CPU well on track

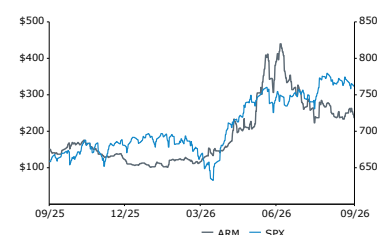
At Bernstein's 23rd SDC in London, we met with ARM's IR team to discuss AGI CPU growth opportunities, product roadmaps, manufacturing strategy, and the company's LT outlook. Below are the key takeaways from the meeting:

- **ARM's AGI CPU program is well on track.** Meta supported the R&D and qualification process and benefits from preferential pricing. Meta is expected to account for ~90% of the planned US\$1bn revenue in FY28. The CPUs are currently in final qualification testing and, assuming successful completion, initial shipments are expected to begin in FQ4(CQ1 2027) with ~\$100m revenue. Pricing could also prove stronger than expected as competitors continue to increase prices.
- **Production visibility in FY28 should improve materially by next March given the ~9-month lead time.** The AGI CPU opportunity is currently supply constrained, with ARM now confident it can exceed its initial US\$1bn target. Demand already exceeds US \$2bn, but additional growth requires greater access to TSMC capacity, particularly as 3nm capacity remains largely sold out. ARM expects incremental supply to come either from TSMC's ongoing capacity expansions or through capacity reallocations from existing customers. TSMC has not yet broadly allocated available 2nm capacity, but new capacity coming online should gradually enable customer allocations.
- **ARM views TSMC as the only viable manufacturing partner for its first in-house chip,** citing superior customer support, execution capabilities and advanced-node manufacturing expertise. Although Samsung remains a potential alternative, ARM currently expects even its second-generation 2nm product to remain at TSMC.
- **China.** ARM can still ship the vast majority of its products into China and continues to benefit from strong ecosystem participation in the region. The company's market share in China exceeds that of the RoW, although semis capacity growth in China is progressing more slowly than elsewhere due to ongoing restrictions.
- **AI implementation.** ARM has extensive access to OpenAI models and is developing an internal model focused on CPU design. However, unlike software development, CPU design lacks the same breadth of open-source data and ecosystem support, making AI-enabled CPU design more challenging.

Close Date	14 Sep 2026
ARM Close Price (USD)	239.01
Price Target (USD)	480.00
Upside/(Downside)	101%
52-Week Range	452.70/100.02
SPX	7,619.98
FYE	Mar
Div Yield	NA
Market Cap (USD) (M)	255,263
EV (USD) (M)	251,839
Performance	YTD 1M 6M 12M
Absolute (%)	118.7 (14.5) 106.5 58.7
SPX (%)	11.3 (2.1) 14.9 15.7
Relative (%)	107.3 (12.3) 91.6 42.9

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F26A	F27E	F28E	Financials	F26A	F27E	F28E	CAGR	Valuation Metrics	F26A	F27E	F28E
ARM (USD)	1.77	2.21	3.17	Reported EPS	0.85	1.35	2.46	--	Adjusted P/E (x)	135.0	108.0	75.5
				Revenues (M)	4,920	6,108	8,564	--				

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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At Bernstein's 23rd SDC London, we met with ARM's IR team to discuss the recently announced AGI CPU business, manufacturing strategy, datacentre CPU demand, competitive positioning, AI trends, and long-term growth outlook. The discussions reinforced ARM's view that demand for CPU compute is accelerating alongside Agentic AI, creating a sizeable opportunity for its first in-house CPU product. Management also provided additional details on customer adoption, TSMC supply constraints, pricing dynamics, the evolution of the datacentre CPU market, and ARM's efforts to leverage AI internally for CPU design and software development.

AGI CPU Development and Customer Adoption

- ARM confirmed that its AGI CPU program remains in the final qualification stage, with approximately 4,000 CPUs currently undergoing the last round of testing with Meta. Assuming no major issues arise, the first shipments are expected in CQ1. Management reiterated that Meta was deeply involved in the R&D and qualification process and therefore benefits from preferential pricing.
- Meta is expected to account for roughly 90% of the initial FY28 revenue opportunity, with additional production allocated to other customers. ARM suggested that future wafer allocations beyond Meta are likely to be directed towards securing strategic design wins with large customers rather than simply maximising near-term pricing from smaller customers.
- Meta is expected to deploy the CPUs across a range of applications, including MTIA head-node functions, general-purpose compute and Agentic AI workloads. The family includes multiple SKUs, ranging from high-core-count versions with up to 136 cores to head-node focused products with fewer cores but higher clock speeds.

TSMC Supply and Capacity Constraints

- Management reiterated that the AGI CPU opportunity remains primarily supply constrained. Demand already exceeds US \$2bn, while ARM initially secured only around US\$1bn of supply from TSMC, which was the previously estimated Demand at the CMD. Since then, ARM has obtained additional wafer commitments and now believes revenue can exceed the original US \$1bn target, although total supply remains below current demand.
- ARM identified two potential sources of additional capacity: new wafer capacity coming online at TSMC and capacity becoming available as other customers delay projects or release previously reserved allocations. Management specifically noted that some mobile customers reserve more capacity than they ultimately need, creating opportunities for reallocation.
- TSMC's 3nm capacity remains essentially sold out, while available 2nm capacity has not yet been broadly allocated. ARM expects future capacity expansions to gradually improve availability. Management also noted that wafer pricing remains dynamic given persistent demand pressures, with 2027 pricing already contracted but 2028 pricing still under negotiation.

Manufacturing Strategy and Foundry Selection

- ARM continues to view TSMC as the only realistic manufacturing partner for its first internally developed CPU. Management repeatedly emphasised that building an advanced semiconductor product requires far more foundry support than licensing IP, making TSMC's engineering capabilities and customer engagement particularly important.
- Intel Foundry was viewed as lacking the level of customer support and advanced-node manufacturing experience required for a first-generation CPU program. Management noted that companies such as Apple can work effectively with Intel because of decades of manufacturing expertise, whereas ARM is entering chip production for the first time.
- Samsung remains the only credible alternative to TSMC, but ARM currently expects even its second-generation 2nm CPU to remain with TSMC given the foundry's technology leadership and execution track record.

China and Regulatory Exposure

- ARM remains relatively unaffected by semiconductor export controls and can still ship the vast majority of its products into China. Management highlighted that ARM's CPU market share in China is significantly higher than in the rest of the world, reaching roughly 95% versus approximately 50% in the RoW.

- The company previously modified the ownership structure of its Chinese operations to satisfy local requirements and maintain participation in the domestic ecosystem. ARM continues to view China as an attractive market, even though semiconductor capacity expansion is occurring more slowly because of ongoing restrictions.
- Management also noted that Chinese policymakers are encouraging industry consolidation in order to create larger, better-funded semiconductor companies capable of supporting the R&D and manufacturing investments required for future process nodes.

AI Tools and Internal Model Development

- ARM has extensive access to OpenAI models and is developing its own internal AI model specifically focused on CPU design and programming. Management believes AI can become an important productivity tool but noted that CPU design remains significantly more challenging than software development.
- Unlike software engineering, where large open-source code repositories exist, there is little publicly available CPU design data. As a result, ARM believes meaningful AI-assisted CPU design remains several years away despite rapid advances in coding models.
- Today, ARM primarily uses AI for software-related tasks, vulnerability analysis and testing verification. While current models are becoming increasingly useful for software development, management believes they remain far from being capable of independently designing complex CPUs.

AGI CPU TAM and Agentic AI Demand

- ARM views published CPU TAM estimates as measures of demand rather than realistic supply forecasts. While the company previously communicated a US\$100bn opportunity, management acknowledged that industry estimates have moved considerably higher, with competitors now discussing opportunities of US\$200bn or more.
- Management noted that, while ARM's current public CPU TAM estimate is US\$100bn, internal demand scenarios could support a substantially larger opportunity, potentially approaching US\$300bn. However, the company stressed that such estimates remain highly uncertain and depend on a wide range of factors, including the pace of Agentic AI adoption, customer deployment plans, and, most importantly, the availability of semiconductor supply across logic, memory and advanced packaging.
- Agentic AI is a major driver behind the rising CPU opportunity. Management argued that agents are primarily CPU workloads because they rely heavily on sequential task execution rather than purely parallel processing. As a result, CPU requirements are increasing more rapidly than many investors appreciate, driving roadmaps toward significantly higher core counts, potentially reaching 500 cores in future generations.

Competition and Datacentre CPU Positioning

- ARM views datacentre CPUs as a unique expansion opportunity because many companies want access to advanced CPUs without building large internal semiconductor design teams. While hyperscalers such as Amazon, Microsoft and Google are expected to continue designing proprietary processors using ARM IP, many other customers lack those capabilities.
- Meta decided to adopt ARM-based CPUs because of their superior performance-per-watt characteristics relative to x86 solutions. Management argued that ARM architecture can often deliver similar performance at roughly half the power consumption, an increasingly important advantage as energy constraints become a key bottleneck for AI infrastructure deployment.
- ARM sees AMD and Intel as the primary competitors in datacentre CPUs. Qualcomm was viewed as a longer-term competitive threat, while Nvidia was not seen as a major standalone CPU competitor because its strategy increasingly focuses on selling integrated rack-level systems. ARM also reiterated that it assumes no CPU revenue from Amazon, Google or Microsoft given their existing in-house development programs.

Licensing, CSS and Subscription Strategy

- ARM highlighted continued strong momentum in CSS adoption, with customers increasingly preferring pre-integrated subsystems rather than assembling individual IP blocks themselves. Management believes this trend is accelerating because it shortens development cycles and reduces engineering complexity.
- The company continues to migrate customers from traditional licence agreements towards subscription-based models. Approximately 30 of ARM's top 50 customers were using subscriptions last year, with that figure expected to approach 40-45 customers over time.
- ARM views subscriptions favourably because they reduce the need for repeated negotiations, improve customer retention and generally support higher royalty streams. Revenue recognition can remain somewhat lumpy since approximately 50% of subscription revenue is recognised at signing and most agreements typically run for five years.

Edge AI, Power Efficiency and CPU-GPU Dynamics

- Management expects AI workloads to gradually move toward edge devices as customers increasingly focus on reducing inference costs. Hyperscalers have strong incentives to push AI processing closer to users because it lowers datacentre costs and shifts part of the compute burden to end devices.
- ARM expects future competition to focus increasingly on cost-per-token, power consumption and efficiency rather than simply maximising compute performance. The company believes its low-power architecture is particularly well positioned as energy availability becomes a growing constraint for AI infrastructure.
- ARM also highlighted the increasing importance of CPUs within AI systems. While training workloads historically used roughly one CPU for every two GPUs, inference deployments increasingly require more CPU resources. Agentic AI is expected to accelerate this trend because CPU-intensive task execution becomes more important than pure parallel compute.

SoftBank Relationship and Strategic Positioning

- ARM described itself as a key component of SoftBank's broader AI ecosystem. SoftBank has investments spanning AI models, datacentres, semiconductors and autonomous systems, creating potential opportunities for ARM across multiple parts of the value chain.
- OpenAI was identified as a potential future customer given SoftBank's strategic involvement with the company. Management noted that OpenAI is already developing accelerators and could ultimately require CPU solutions as part of its broader infrastructure stack.
- Management expect the relationship with SoftBank to continue and potentially expand as new semiconductor initiatives are launched.

Financial Outlook, Margins and Capital Allocation

- ARM's primary focus over the next several years is execution. Management acknowledged that designing CPUs and selling complete chips represents a very different business model from licensing IP, despite the significant overlap in underlying architecture expertise.
- The company continues to target meaningful margin expansion through 2030. Management expects operating margins within the IP business to increase from roughly 55% today toward 65%, while the CPU business is expected to generate operating margins of approximately 30% as scale increases.
- While ARM currently has sufficient cash resources, it does not expect to introduce buybacks in the near term. Capital allocation is likely to remain focused on recruiting engineering talent, selectively acquiring teams and supporting long-term product development.

Talent, Product Expansion and Long-Term Growth Opportunities

- Management expressed confidence in ARM's ability to attract leading CPU engineers and described the company as one of the most attractive destinations globally for processor designers. Competition is more intense in software development, where ARM competes for talent against companies such as Google and Microsoft.
- ARM reiterated that it has no current plans to enter the GPU market. Management argued that CPU and accelerator development require fundamentally different engineering capabilities, making diversification less attractive than continuing to strengthen its CPU leadership position.
- Looking beyond current datacentre opportunities, management highlighted robotics, autonomous systems and humanoid robots as potentially significant long-term drivers of compute demand. While these opportunities remain several years away, ARM believes they could contribute to a substantial acceleration in CPU demand over the longer term.

INVESTMENT IMPLICATIONS

We rate Arm Outperform with a PT of 480\$

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	14 Sep 2026 Closing	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
ARM (ARM Holdings)	O	USD	239.01	480.00	42.9%	USD	1.77	2.21	3.17	135.0	108.0	75.5
SPX			7,619.98									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**ARM Holdings PLC**

For Arm, we apply a 42x multiple to our FY31 EPS estimate of \$11.37 to get a PT of \$480.

RISKS**ARM Holdings PLC**

Downside risks to our price target for Arm include slower growth in the new AGI CPU business and a lack of market share gains in the server CPU market; a slower increase in royalty rates across different end-markets; slower v9 and CSS penetration; higher-than-expected costs to ramp up the AGI CPU business; and higher OPEX required to sustain the massive projected growth.

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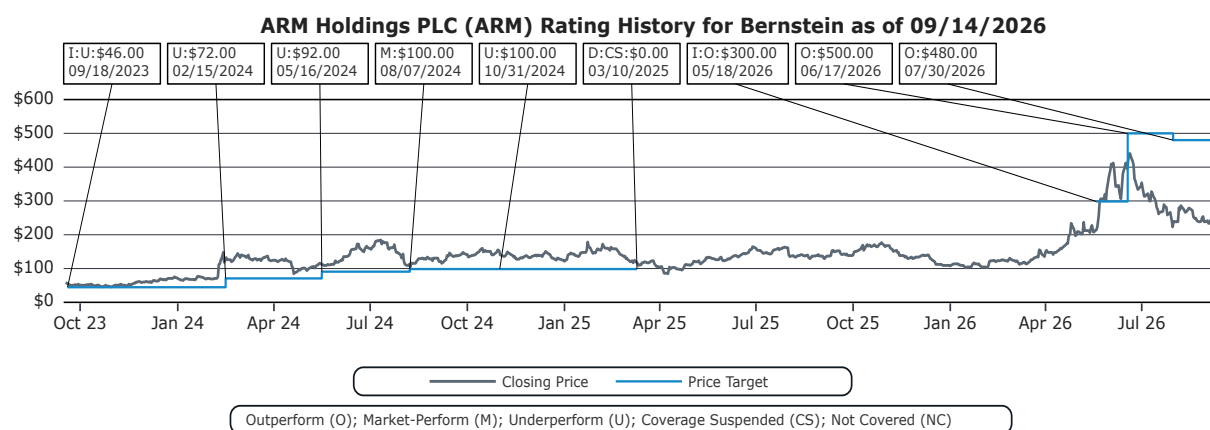
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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